THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

ANSWER KEY & MARKING SCHEME SET 1

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** habit of saving	Simple savings
2	**(d)** Government savings schemes	Government-backed
3	**(a)** Income tax	Paid on income
4	**(c)** Rs 6,000	Income - expenses
5	**(a)** cut expenses or raise income	Balance
6	**(a)** Investing in growth assets	Beat inflation
7	**(c)** longer compounding	Time effect
8	**(b)** 5% of Rs 2 lakh = Rs 10,000	Ignoring rebate in this question
9	**(d)** Equity shares	Market-linked
10	**(a)** Health insurance	Cover

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Compounding (1); Habit (1).	1+1
12	EMIs reduce savings (1); Interest adds cost (1).	1+1
13	Prices fluctuate (1); Company may fail (1).	1+1
14	Provide public services (1); Redistribute income (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Rs 1,000 item costs Rs 1,060 at 6% (1); Same money buys less (1); Invest above inflation (1).	1+1+1
16	Savings Rs 15,000 (1); Rate 25% (1); Positive budget (1).	1+1+1
17	20,000 + 40,000 + 15% of 4 lakh = 60,000 (1); Total Rs 1,20,000 (1); Slab method (1).	1+1+1
	OR: Earlier start (1); Compounding (1); Higher value (1).	1+1+1
18	8000 x 5 x 2/100 (1); Rs 800 (1); Amount Rs 8,800 (1).	1+1+1
	OR: 18,000/9 (1); Rs 2,000 (1); Track monthly (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Funds services (1); Progressive rates (1); Welfare (1); Compliance (1); Transparency (1).	1+1+1+1+1
	OR: 25,000 x 1.08 x 1.08 (2); Rs 29,160 (1); Interest Rs 4,160 (1); Compounding meaning (1).	2+1+1+1
20	Money decisions begin early (1); Save and invest (1); Avoid debt traps (1); Understand tax (1); Use insurance (1).	1+1+1+1+1
	OR: Education loan (1); Business loan (1); Needless debt (1); Interest cost (1); EMI planning (1).	1+1+1+1+1

Mistakes to avoid:

- Simple interest is on the principal only: SI = P x R x T/100. Compound interest is on principal **and** earlier interest, so it is larger over 2 or more years.
- The five pillars are income, budgeting, saving, investing and protection; exports are not one of them.
- GST is an **indirect** tax (on goods and services); income tax is a direct tax. In a progressive system higher incomes pay higher rates.
- An EMI purchase costs **more** than the price: total paid = EMI x number of months (e.g. 12 x 3,000 = 36,000 for a 30,000 fridge).
- Inflation is a rise in prices, which lowers purchasing power; money kept idle in cash loses value over time.
- Higher risk goes with higher possible return and fixed deposits are low-risk; a premium is paid for insurance and a SENSEX is an index of the BSE.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

ANSWER KEY & MARKING SCHEME SET 2

Chapter 13: **Managing Your Personal Finances (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** Rs 600	6000/10
2	**(b)** cover loss from drought	General insurance
3	**(a)** Rs 13,25,000	Subtract
4	**(a)** Higher incomes pay higher rates	Equity
5	**(b)** Spread risk	Don't put all eggs in one basket
6	**(d)** Ignores future goals	Weak plan
7	**(b)** 8%	40/500
8	**(b)** 78,750	Slab method
9	**(d)** Savings and emergency funds fall	Debt burden
10	**(c)** productive borrowing	Future income

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Higher earners contribute more (1); Reduces inequality (1).	1+1
12	Government or bank-backed (1); Fixed returns (1).	1+1
13	Reduces taxable income (1); Fixed relief (1).	1+1
14	Pays for loss (1); Avoids selling assets (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Hospital bill covered (1); Premium paid regularly (1); Savings protected (1).	1+1+1
16	Finance Ministry proposes (1); Parliament approves (1); CBDT implements (1).	1+1+1
17	Allocates money (1); Tracks progress (1); Avoids impulse buying (1).	1+1+1
	OR: Tracks 30 companies (1); Ups and downs (1); Long-term upward (1).	1+1+1
18	Education loan builds future (1); Planned borrowing (1); Unnecessary debt harmful (1).	1+1+1
	OR: Part-time work (1); Internships (1); Skills and pocket money (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Savings fund investment (1); Taxes fund services (1); Spending creates demand (1); Insurance reduces risk (1); Stability (1).	1+1+1+1+1
	OR: Saving: safe, liquid (1); Investing: growth, risk (1); Liquidity differs (1); Time horizon (1); Inflation effect (1).	1+1+1+1+1
20	Inflation reduces value (1); Interest adds (1); Compounding grows (1); Real returns (1); Planning (1).	1+1+1+1+1
	OR: Savings Rs 6,000 (1); Spendable Rs 24,000 (1); Rent and food (1); Education and transport (1); Review monthly (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

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SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(c)** Rs 2,400	10000 x 0.08 x 3
2	**(a)** subtracted from salary before tax	Relief
3	**(c)** GST on a shirt	Added to price
4	**(a)** 5%	250/5000
5	**(d)** nil tax	Within first slab
6	**(a)** Rs 24,200	20000 x 1.21
7	**(c)** Rs 1,060	1000 x 1.06
8	**(a)** Part-time work, internships	Students earn
9	**(c)** Rs 10,000	25% of 40,000
10	**(a)** Liquid savings	Liquidity

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Emergencies (1); Quick cash (1).	1+1
12	Value erodes (1); Interest may lag inflation (1).	1+1
13	Only income in a slab taxed at that rate (1); Rates rise by slab (1).	1+1
14	Income and prices change (1); Goals shift (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	12 x 3,000 = 36,000 (1); Rs 6,000 interest (1); Cost of credit (1).	1+1+1
16	Direct: person pays on income (1); Indirect: consumers pay through price (1); Examples (1).	1+1+1
17	5% of 4 lakh = 20,000 (1); 10% of 2 lakh = 20,000 (1); Total Rs 40,000 before rebate (1).	1+1+1
	OR: FD safe, lower return (1); Fund higher return, risk (1); Choose by goals (1).	1+1+1
18	5000 x 1.21 (1); Rs 6,050 (1); Interest Rs 1,050 (1).	1+1+1
	OR: Young can take more risk (1); Older prefer safety (1); Time horizon matters (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	FD low (1); Bond moderate (1); Shares high (1); Mutual funds diversified (1); Choose by goals (1).	1+1+1+1+1
	OR: Sudden needs (1); Liquidity (1); Avoid borrowing (1); Peace of mind (1); Savings habit (1).	1+1+1+1+1
20	Progressive principle (1); Slabs (1); Standard deduction (1); Rs 13,25,000 example (1); Rs 78,750 (1).	1+1+1+1+1
	OR: Insurance pools risk (1); Premium (1); EMI convenience (1); EMI burden (1); Plan wisely (1).	1+1+1+1+1

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